# HUMAN RESOURCE MANAGEMENT
# UNIT-I
# FROM PERSONAL MANAGEMENT TO HUMAN RESOURCES MANAGEMENT

## MEANING OF HRM

HRM is the art of Procuring, developing and maintaining competent workforce to achieve organisational goals effectively. The process of employing people, developing their resources, utilising, maintaining & compensating their service in tune with the job & organisational requirements with a view to contribute to the goals of the organisation, individual & the society.

## DEFINITION

According to **Wendell L French** " the human resource management refers to the philosophy, policies, procedures, & practice related to the management of people within an organisation.
According to **Stephen P Robbins**, HRM is a process consisting of the acquisition, development, motivation & maintenance of human resources.

## SCOPE OF HRM

The Scope of Human Resource management into the following aspects
1. **The Personnel Aspect** This aspect of HRM is concerned with the manpower planning, recruitment, selection, placement, induction, transfer, promotion, demotion, termination, training & development, layoff & retrenchment, wage & salary administration, incentives, productivity etc.
2. **The Welfare Aspect:-** The welfare aspect is concerned with working conditions & amenities such as canteens, crèches, rest rooms, lunch rooms, housing, transport, education, medical help, health & safety, washing facilities recreation & cultural activities etc.

3. **The Industrial Aspect**:- This aspect is concerned with employees. It includes union management relations, joint consultation, negotiating collective bargaining, grievance handling, disciplinary actions, settlement of industrial disputes etc.

## IMPORTANCE OF HRM

### Importance for the Organization:-

HRM is important for the organization to the following:

- Good human resource practices help in attracting & retaining the best people in the organisation.
- In order to make use of latest technology the appointment of right type of persons is essential. The right people can be fitted into new jobs properly only if the management performs its HR function satisfactorily.
- Globalisation has increased the size of the organisation who employ thousands of employees in different countries. The performance of the company depends upon the qualities of the people employed. This has further increased the importance of HRM
- HR planningalerts the organisation to the types of people it will need in the short , medium & long run.
- HR development is essential for meeting the challenges of future. The importance of HRM has increased because of the shortage of really managerial talent in the country.

### Importance for the employees

- HRM stress on the motivation of employees by providing them various financial & non-financial incentives.
- Right organizational climate is also stressed upon so that the employees can contribute their maximum to the achievement of the organisational objectives.
- Effective management of HR promotes team wok &team spirit among employees.
- It offers excellent growth opportunities to people who have the potential to rise.
- It also encourages people to work with diligence &commitment.

**Importance for the society:-**

Good HR efforts lead to productivity gains (ration of output to input) to the society, since it enables the managers to reduce costs, save scarce resources, enhance profits & offer better pay, benefits & working conditions to employees.

**OBJECTIVES OF HRM**

1) **Societal Objectives:-**
   - To manage human resources in an ethical & socially responsible manner.
   - To ensure compliance with legal & ethical standards.
   - To minimise the negative impact of societal demands upon the organisation.
2) **Organisational Objective:-**
   - HR department, like any other department in an organisation, should focus on achieving the goals of the organisation first. If it does not meet this purpose, the HR department cannot exist in the long run.
   - HR department should recognise its role in bringing aboutorganisational effectiveness.
   - HRM is not an end in itself. It is only a means to assist the organisation with its primary objectives.
3) **Functional Objectives:-**
   - To maintain the HRM departments contribution at a level appropriate to the organisation's needs. Resources are wasted when HRM is either more or less sophisticated to suit the organisation's demands.
   - The department's level of service must be tailored to fit the organisation It serves.
   - HRM should employ the skills & abilities of the workforce efficiently. It should aim at making the people's strength more productive & beneficial to the organisation.
   - HRM should aim at providingthe organisation with well trained

&well motivated employees.

4) **Personnel Objectives**

- HRM should increase employees job satisfaction to the fullest extent.
- HRM should also meet the self actualisation needs of the employees. It should stimulate every employee to achieve his potential.
- HRM should assist the employees in achieving their personal goals, at least in so far as these goals enhance the individual's contribution to the organisation.
- HRM should develop & maintain a quality of work life. It makes employment in the organisation a desirable, personal & social situation. Organisational performance can never be improved without the quality of work life.
- The HRM should also communicate HR policies to all employees. Itwill help the HRM in tapping the ideas, opinions, feelings, & the views of the employees.

## PERSONAL MANAGEMENT

**Meaning:-** It is the process of Planning, organising, compensation, integration & maintenance o people for the purpose of contributing to organisational individual & societal goals.

Personnel management can be defined as obtaining, using & maintaining a satisfied workforce.

**Definition:-** Acc. to Flippo " personnel management is the planning, organizing, compensation, integration & maintenance of people for the purpose of contributing to organisational, individual & societal goals.

Acc, to Brech " personnel management is that part which is primarily concerned with human resources of organisation.

**DIFFERENCES BETWEEN PERSONALMANAGEMENT & HRM**

| PERSONAL MANAGEMENT | HRM |
|---|---|
| It is a traditional approach to managing People in the organisation. | It is modern approach to managing people In the organisation. |
| It focuses on personal administration, employee welfare, & labour relation. | It focuses on acquisition, development, Motivation & maintenance of HR in the organisation. |
| It assumes people as input for achieving the desired output. | It assumes people as in important & valuable resource for achieving the Desired output. |
| It undertaken for employee satisfaction. | It undertaken for goal achievement. |
| Job design is done on the basis of division of labour. | Job design function is done on the basis of group work/teamwork. |
| Employees are provided with less training & development opportunities. | Employees are provided with more Training &development. |
| Decisions are made by the top management as per the rules &regulation of the organisation | Decisions are made collectively after considering employee's participation, authority, decentralization ,competitive environmentetc. |
| It focuses on increased production& Satisfied employees | It focuses on effectiveness, culture, Productivity &employee's participation. |
| It is concerned with the personnel manager. | It is concerned with all levels of managers From top to bottom. |
| It is a routine function. | It is a strategic function. |

## Human Resources in the Changing Environment

**Meaning:**

The changing environment refers to continuous changes in economic, technological, social, legal, political, and competitive factors that directly influence Human Resource Management.

HRM must adapt proactively to ensure organizational survival, growth, and sustainability.

Major Environmental Factors Affecting Human Resources

**1. Technological Environment**

Rapid technological advancement has transformed work and employment.

Key changes include automation, artificial intelligence, digital HR systems, remote work, and increased demand for digital skills.

Impact on HR includes continuous reskilling, technology-based performance management, and data security training.

**2. Economic Environment**

Economic conditions influence employment patterns and HR policies.

Impact on HR includes workforce restructuring, performance-based pay, flexible staffing, and cost control measures.

**3. Globalization**

Globalization has led to multinational operations and cross-cultural workforces.

HR must manage global recruitment, cross-cultural training, international compensation, and diversity management.

**4. Socio-Cultural Environment**

Changing social values emphasize work-life balance, employee well-being, and diversity.

HR responds through flexible work arrangements, wellness programs, and inclusive HR policies.

**5. Legal and Political Environment**

HR practices are shaped by labour laws, safety regulations, and social security legislation.

HR must ensure compliance, fair practices, and effective grievance handling.

**6. Demographic Changes**

Workforce demographics are changing due to aging populations, youth workforce, and migration.

HR focuses on succession planning, career development, and knowledge transfer.

**7. Competitive and Market Environment**

Intense competition requires innovation and agility.

HR supports this through talent management, employee engagement, and strategic workforce planning.

**HR Responses to the Changing Environment**

Strategic HRM, continuous learning, flexibility, employee engagement, change management, and HR analytics are key responses.

**Role of HR in Managing Change**

HR acts as a change agent by communicating vision, reducing resistance, building commitment, and developing leadership.

**Conclusion**

The changing environment requires HRM to evolve into a strategic and proactive function that provides competitive advantage and ensures long-term sustainability.

## Changing Work Design

### Meaning of Work Design

Work design refers to the process of organizing tasks, duties, responsibilities, and relationships in a job. It aims to improve efficiency, productivity, and employee satisfaction by structuring work in a meaningful way.

**Need for Changing Work Design**

Work design needs to change due to technological advancement, globalization, competitive pressure, changing employee expectations, and the shift towards knowledge-based work. Organizations redesign jobs to remain flexible and innovative.

**Factors Influencing Changing Work Design**

1. Technological changes such as automation and digitalization
2. Global competition and market pressure
3. Workforce diversity and demographic changes
4. Demand for flexibility and work-life balance
5. Organizational restructuring and downsizing

**Modern Approaches to Work Design:**

**1.Job Enlargement**

Job enlargement involves adding more tasks of a similar nature to a job to reduce monotony and increase variety.

**2.Job Enrichment**

Job enrichment focuses on increasing the depth of a job by adding responsibility, autonomy, and opportunities for growth.

**3.Job Rotation**

Job rotation involves shifting employees between different jobs to develop multiple skills and reduce boredom.

**4.Flexible Work Arrangements**

These include flexible working hours, compressed work weeks, remote work, and part-time work options.

**5.Team-Based Work Design**

Work is organized around teams rather than individuals, encouraging collaboration, problem-solving, and shared responsibility.

**6.Ergonomic Work Design**

Jobs are designed considering physical and psychological comfort to reduce fatigue, stress, and workplace injuries.

**7.Role of HR in Changing Work Design**

HR identifies the need for job redesign, conducts job analysis, trains employees for new roles, and aligns performance appraisal and reward systems with redesigned jobs.

**Advantages of Changing Work Design**

1.Improves productivity and quality of work
2.Enhances employee motivation and satisfaction
3.Encourages skill development and flexibility
4.Reduces absenteeism and turnover

**Conclusion**

Changing work design is essential for organizational effectiveness in a dynamic environment. Properly designed jobs contribute to employee well-being and sustained organizational performance.

## Human Resources Development (HRD) Department and its Functions

**Meaning of Human Resources Development (HRD)**

Human Resources Development refers to a systematic and planned approach for developing the knowledge, skills, attitudes, and competencies of employees to improve individual, group, and organizational effectiveness.

**HRD Department**

The HRD department is a specialized unit within an organization responsible for planning, implementing, and evaluating developmental activities for employees. It focuses on continuous learning, performance improvement, and organizational growth.

**Objectives of HRD Department**

The main objectives of the HRD department are:

• To develop employee competencies and capabilities

• To improve organizational effectiveness

• To create a learning-oriented culture

• To prepare employees for future roles and responsibilities

• To enhance employee motivation and job satisfaction

**Functions of Human Resources Development Department**

**1. Training and Development**

The HRD department identifies training needs and designs programs such as induction training, on-the-job training, off-the-job training, and management development programs.

**2. Performance Appraisal and Performance Management**

HRD designs appraisal systems, evaluates employee performance, provides feedback, and links performance results with training and development plans.

**3. Career Planning and Development**

The department helps employees plan their careers, identify growth opportunities, and align individual aspirations with organizational needs.

**4. Succession Planning**

HRD identifies potential employees and prepares them to occupy key positions in the future through planned development activities.

**5. Organization Development (OD)**

HRD initiates planned change efforts such as team building, leadership development, culture change, and organizational restructuring.

**6. Employee Counseling and Welfare**

The department provides counseling services to help employees deal with personal, professional, and work-related problems.

**7. Learning and Knowledge Management**

HRD promotes continuous learning through workshops, e-learning platforms, mentoring, and knowledge-sharing systems.

**8. HRD Evaluation and Research**

The department evaluates the effectiveness of HRD programs and conducts research to improve developmental practices.

**Role of HRD Manager**

The HRD manager acts as a facilitator, trainer, change agent, and strategic partner who ensures that human resources are effectively developed to meet organizational goals.

**Conclusion**

The HRD department plays a crucial role in building employee competence and sustaining organizational performance. Effective HRD practices help organizations adapt to change and gain competitive advantage.